Advanced Transaction Monitoring Masterclass

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Module 4

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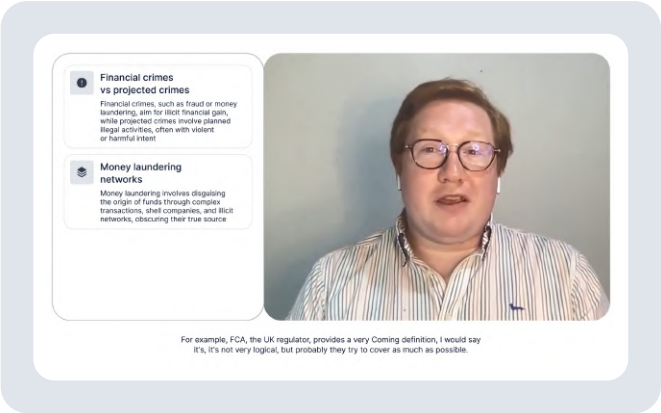
How to use KYC, CDD, and transaction monitoring data against financial crime

Hosted by Tony Petrov, Chief Legal Officer at Sumsub

Financial and fintech expert who has been featured in top industry publications.

Tony is an experienced blockchain and Fintech attorney with a focus on AML and KYC compliance, data privacy and international regulator relations.

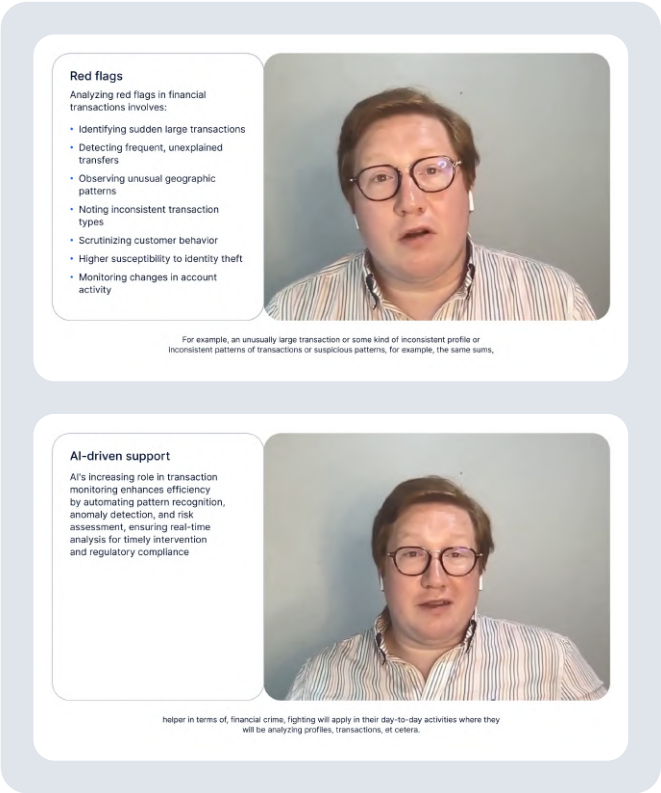
Key session takeaways



Session 1: Financial crime in our modern realities

Financial crimes vs projected crimes: Financial crimes, such as fraud or money laundering, aim for illicit financial gain, while projected crimes involve planned illegal activities, often with violent or harmful intent.

Money laundering networks: Money laundering involves disguising the origin of funds through complex transactions, shell companies, and illicit networks, obscuring their true source.



Session 2: Modern transaction monitoring solutions

Red flags: Analyzing red flags in financial transactions involves

- **Identifying** sudden large transactions
- **Detecting** frequent, unexplained transfers
- **Observing** unusual geographic patterns
- **Noting** inconsistent transaction types
- **Scrutinizing** customer behavior
- **Monitoring** changes in account activity

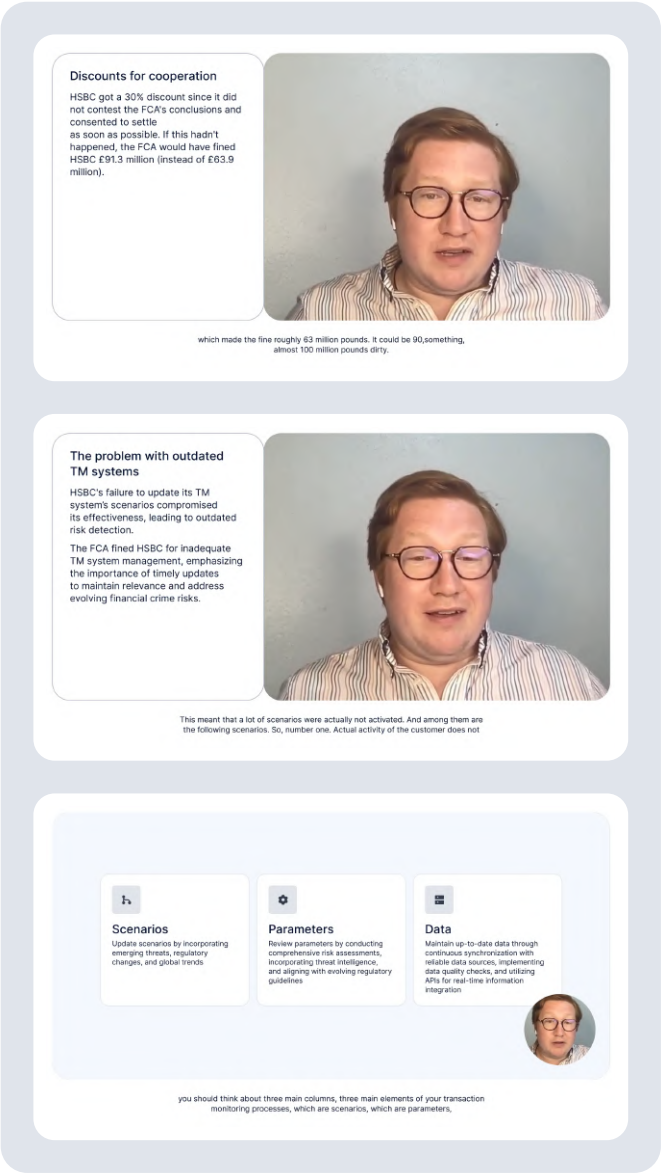
AI-driven support: AI's increasing role in transaction monitoring enhances efficiency by automating pattern recognition, anomaly detection, and risk assessment, ensuring real-time analysis for timely intervention and regulatory compliance.

Session 3: Fighting financial crime with automated solutions

The Financial Action Task Force (FATF)—Opportunities and Challenges of New Technologies for AML/CFT (2021).

The report delves into the following areas:

- Explores blockchain, AI, and data analytics
- Identifies opportunities and challenges
- Stresses regulatory adaptability
- Evaluates potential risks and benefits
- Emphasizes effective financial crime prevention strategies



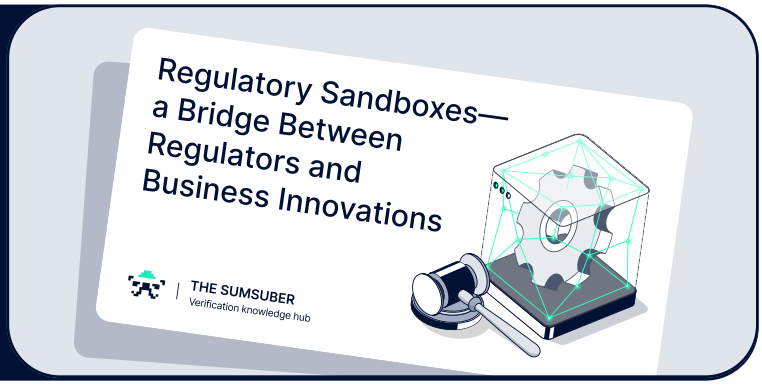
Session 4: Case studies

Discounts for cooperation: HSBC got a 30% discount since it did not contest the FCA's conclusions and consented to settle as soon as possible. If this hadn't happened, the FCA would have fined HSBC £91,3 million (instead of £63.9 million).

The problem with outdated TM systems: HSBC's failure to update its TM system's scenarios compromised its effectiveness, leading to outdated risk detection.
The FCA fined HSBC for inadequate TM system management, emphasizing the importance of timely updates to maintain relevance and address evolving financial crime risks.

TM tuning across three key elements:

- **Scenarios:** Predefined patterns or behaviors indicating potential risks
- **Parameters:** Thresholds or criteria defining normal transaction behavior
- **Data:** Information collected and analyzed for anomalies, including transaction details, customer profiles, and external factors

Regulatory Sandboxes a Bridge Between Regulators and Business Innovation

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